

Example 1: A Legal Damages Paragraph

FactReasoner — Ideation

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1 Source paragraph

Plain text.

The defendant was found liable for breach of contract, which occurred on March 15, 2022, after they failed to deliver the specified goods. As a result, the court awarded the plaintiff \$50,000 in damages for the breach. However, the defendant argued that the plaintiff’s own actions constituted a prior breach, thus excusing their performance. The case hinged on the initial agreement signed on January 1, 2022, which the court ultimately declared void ab initio (void from the beginning) due to fraudulent misrepresentation by the plaintiff. Separately, the court found the defendant liable for unjust enrichment and awarded the plaintiff \$10,000 on that basis, as the defendant had retained a down payment.

Annotated. Each highlighted clause is one atomic unit, tagged with its identifier F^n . Colours group the units into the four clusters used later in the relation graph.

The defendant was found liable for breach of contract F^1 , which occurred on March 15, 2022 F^2 , after they failed to deliver the specified goods F^3 . As a result, the court awarded the plaintiff \$50,000 in damages for the breach F^4 . However, the defendant argued that the plaintiff’s own actions constituted a prior breach F^5 , thus excusing their performance F^6 . The case hinged on the initial agreement F^7 , signed on January 1, 2022 F^8 , which the court ultimately declared void ab initio (void from the beginning) F^9 due to fraudulent misrepresentation by the plaintiff F^{10} . Separately, the court found the defendant liable for unjust enrichment F^{11} and awarded the plaintiff \$10,000 on that basis F^{12} , as the defendant had retained a down payment F^{13} .

Legend: breach of contract (F1–F4) defendant’s argument (F5–F6) pivot: void ab initio (F9)
agreement / fraud (F7, F8, F10) unjust enrichment (F11–F13) The tag F^n gives each unit’s id.

2 Atomic units (in order of appearance)

An *atomic unit* is a short, self-contained sentence carrying exactly one fact or claim.

F1. The defendant was found liable for breach of contract.

F2. The breach of contract occurred on March 15, 2022.

F3. The defendant failed to deliver the specified goods.

- F4.** The court awarded the plaintiff \$50,000 in damages for the breach.
- F5.** The defendant argued that the plaintiff’s own actions constituted a prior breach.
- F6.** The defendant argued that the plaintiff’s prior breach excused the defendant’s performance.
- F7.** The case hinged on the initial agreement.
- F8.** The initial agreement was signed on January 1, 2022.
- F9.** The court declared the initial agreement void *ab initio* (void from the beginning).
- F10.** The agreement was declared void due to fraudulent misrepresentation by the plaintiff.
- F11.** The court found the defendant liable for unjust enrichment.
- F12.** The court awarded the plaintiff \$10,000 on the basis of unjust enrichment.
- F13.** The defendant had retained a down payment.

3 Relations

Logical prerequisites ($A \rightarrow B$)

- $F3 \rightarrow F1$ — failing to deliver the goods grounds the breach finding.
- $F1 \rightarrow F2$ — the breach must exist for it to have a date.
- $F1 \rightarrow F4$ — liability for breach is required to award damages “for the breach.”
- $F7 \rightarrow F1$ — an initial agreement must exist for there to be a contract to breach.
- $F7 \rightarrow F8$ — the agreement must exist for it to have a signing date.
- $F7 \rightarrow F9$ — the agreement must exist for the court to declare it void.
- $F8 \rightarrow F9$ — the agreement signed Jan 1, 2022 is the thing declared void.
- $F10 \rightarrow F9$ — fraudulent misrepresentation is the stated cause of the voidness.
- $F13 \rightarrow F11$ — retaining the down payment grounds the unjust-enrichment finding.
- $F11 \rightarrow F12$ — the unjust-enrichment finding grounds the \$10,000 award.

Position invalidations ($A \neq B$)

- $F9 \neq F1$ — void *ab initio* means no valid contract ever existed, so the earlier breach-of-contract finding is invalidated.
- $F9 \neq F2$ — a breach “on March 15, 2022” cannot stand once no valid contract existed on that date.
- $F9 \neq F4$ — the \$50,000 damages award rests on a breach that is now deemed never to have occurred.
- $F9 \neq F6$ — there was no valid performance obligation to be “excused.”

- F10 $\neq$ F5 — the plaintiff’s fraud supersedes the defendant’s “prior breach by plaintiff” argument with a stronger ground.

Note. The unjust-enrichment chain (F11, F12, F13), flagged “Separately,” is *not* invalidated by F9: restitution for unjust enrichment applies precisely *because* no valid contract exists, so it is consistent with — even reinforced by — the void declaration.

4 Relation graph

Solid blue arrows are logical prerequisites ($A \rightarrow B$). Dashed red arrows are position invalidations ($A \neq B$). The pivotal unit **F9** (void *ab initio*) is highlighted: it retroactively invalidates the earlier breach claims, while the unjust-enrichment cluster on the right survives.

